EARNINGS UPDATE · COMMUNICATION SERVICES

Meta Q3 2026: the ads deliver, the 2027 bill waits

22 October 2026 · Syz Research · Q3 results published on 21 October after the US close

Meta is not on the Syz focus list. Our long-term stance remains **constructive**. The quarter answered two of our three pre-results questions: revenue and the outlook were strong, and Muse came with usage data. The third, the 2027 investment bill, was left open, while free cash flow turned negative.

Q3 revenue	EPS excl. legal charge	Q4 revenue outlook	Q3 free cash flow
USD 64.6 bn	**USD 7.40**	**USD 73 to 76 bn**	**USD -2.1 bn**
+2% vs. cons., +26% y/y	+13% vs. cons., GAAP USD 3.83	mid-point +1% vs. cons.	capex USD 34.9 bn

Key takeaways

BEAT Revenue above the top of guidance, driven by a 14% rise in the price per ad; operating income 13% above consensus.

BEAT Muse: over 10 million users set up an agent in six weeks (US, Canada), about a quarter use it on any given day, and shopping is the top use case.

WATCH Volumes are slowing: ad impressions +10%, daily active people +3% to 3.64 bn. Growth leans increasingly on pricing.

WATCH Capex exceeded operating cash flow; no 2027 capex figure yet, as the budget is still being built.

1. A clean quarter under the legal charge

Reported EPS of USD 3.83 includes a USD 9.9 bn charge for the settlement with 52 US states; excluding it, EPS was USD 7.40, against a USD 6.54 consensus (not all estimates included the charge). Operating income excluding the charge reached USD 22.9 bn, a margin of about 35% against 40% a year earlier.

2. Muse moves from downloads to a business

Shopping is the top use case, with an average purchase above USD 200; Meta would take a share of transactions while keeping Muse free for most users. The Muse Wonder models launched on 13 October, which Meta says rival leading labs on selected coding and agentic benchmarks, add an enterprise path through a commercial API, Muse Code and Meta One subscriptions. Compute is the constraint, with a tenfold efficiency gain targeted next year. Revenue and cost per user are still not disclosed.

3. The cash question is postponed, not solved

Free cash flow was negative at USD -2.1 bn. Expense guidance moved to USD 175 to 179 bn, the previous range plus the charge, and 2026 capex was narrowed to USD 135 to 145 bn. For 2027, management expects to keep investing aggressively but also to sustain strong revenue growth, and Reality Labs losses to narrow to around USD 15 bn. Without a capex figure, the debate moves to the Q4 results in January. Meta will also distribute one new non-voting Class C share per existing share, effective from 19 January 2027, which would work like a two-for-one split.

4. First market reaction

The share came into the print about 9% below its level after the Muse Wonder launch, closing at USD 697.50. It spiked by up to about 7% in after-hours trading, then gave back most of the gain as management flagged rising AI serving costs. The reaction suggests the market is rewarding the quarter while waiting for the 2027 numbers.

OUR PRE-RESULTS TESTS

TEST	OUTCOME	EVIDENCE
Revenue at or above USD 63 bn, firm Q4 outlook	**Met**	USD 64.6 bn; Q4 outlook USD 73 to 76 bn
Muse metrics beyond downloads	**Largely met**	Daily usage, commerce; no revenue per user yet
2027 capex and expenses in line	**Open**	Budget in progress; strong 2027 revenue growth flagged

What this means for investors

The results reinforce our constructive long-term stance: advertising is funding the AI strategy, and Muse now shows early signs of a business model. This note is not a recommendation to buy the share, which is not on the Syz focus list. The next test is the 2027 investment guidance, expected with the Q4 results, and whether free cash flow returns to positive territory.

Sources: Meta Platforms Q3 2026 results and earnings call (21 October 2026), Muse Wonder launch (13 October 2026); FactSet (consensus); press reports (after-hours trading, call commentary). Operating margin excluding the charge: Syz calculation. Prices are as of the close on 21 October 2026.

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